

Executive summary

Nonprofit financial planning, scenario forecasting and impact measurement | Upwardly Global (EIN 94-3346127) | FY2024 Form 990, filed 2025-10-17

\$28.6M	\$10.3M	2.18x	24 mo	FY2029	\$9,597
FY2024 revenue	Operating result	Net assets / expenses	Liquid runway	Structural deficit from	Cost per outcome

This organization has a strong balance sheet and a weakening business model, and the first is concealing the second. Six consecutive surpluses have built net assets to \$39,907,054 - 2.18 times annual expenses and 24 months of liquid runway. That cushion is large enough to absorb a 31.6% permanent cut in contributions without cutting a single program inside five years. It is also large enough to make a slow structural decline invisible for most of a decade.

The four things that matter

1. The growth was episodic, and the cost base is not

Revenue compounded at 33.5% a year from FY2019 to FY2024, almost entirely through contributions tied to the Afghanistan and Ukraine displacement responses. Expenses compounded at 27.0%. The gap produced \$36,670,589 of cumulative surplus, but it also built a delivery organization sized to funding that arrived for reasons outside management's control. On Base case assumptions, where foundation and government funding normalise rather than collapse, the organization crosses into structural deficit in FY2029 and reaches its reserve floor around FY2033. Closing the gap needs contributions roughly 6.2% above trajectory.

2. Reach grew; placements did not

FY2024 served 503 more participants than planned and produced 29 fewer successful outcomes. The outcome rate fell from 14.8% to 13.9% as growth came through lower-converting channels. This is a mix problem, not a cost problem, and it is the most actionable finding in the analysis. Management reporting that leads with participant counts will not surface it.

3. The programs cannot be ranked on one measure

Digital Learning produces a placement for \$6,667; Credential Support costs \$13,548 but delivers 2.4 times the earnings gain per person placed. Optimising an incremental \$1,000,000 for placement count and optimising it for earnings gain produce almost opposite allocations. The recommended balanced allocation gives up 2.8% of placement count to lift average earnings gain per placement by 5%, and beats a pro rata roll-forward by 21 placements a year.

4. Stewardship ratios are not where the risk is

Program expense ratio 78.5% against a 65% minimum; fundraising cost 6.7 cents per dollar against a 35 cent ceiling; four-star Charity Navigator rating. All comfortable, none informative. The measure that does carry a warning is accumulation: net assets have moved from 0.81x to 2.18x annual expenses in six years against a BBB ceiling of three times.

Recommended actions

- Adopt a stated reserve target in months of expenses and commit the excess to a dated, multi-year program expansion. The reserve is an asset only if it is deployed.

- Plan to FY2029, not FY2027. Build the fundraising capacity to close a 6.2% structural gap before the reserve makes the decision urgent.
- Shift the funding mix away from institutional sources, which are 63% of contributions and the most exposed to the response cycle.
- Report outcome rate and cost per successful outcome by program as the primary measures; demote participant counts to context.
- Fund the balanced allocation and make the earnings-gain quality floor an explicit board policy rather than an accident of where the marginal dollar landed.

What this analysis is

An independent financial model built from public data: six years of IRS Form 990 filings, the organization's published impact reporting, and sector benchmarks from BBB Wise Giving Alliance and Propel Nonprofits. Historical totals are real and cited. The four-program portfolio, the split of expenses into functional categories, the balance sheet composition and every forward-looking figure are analyst assumptions, tagged by provenance across 216 registered inputs in 02_Assumptions.xlsx. Of those, 56 are taken verbatim from filings, 19 are arithmetic on public values, 6 are published sector standards and 135 are assumptions. Wherever a public control total exists, the modelled composition reconciles to it exactly.

Basis of preparation. This is an independent analysis prepared from publicly available information for portfolio and educational purposes. It is not affiliated with, endorsed by, or reviewed by Upwardly Global, and it is not financial advice. Historical financial totals are taken verbatim from IRS Form 990 filings for FY2019 to FY2024 and impact metrics from the organization's own published reporting. Everything else - the split of expenses into functional categories, the four-program portfolio and its unit economics, the composition of the balance sheet, and every forward-looking figure - is an analyst assumption, is labelled as such in 02_Assumptions.xlsx, and does not represent the organization's plans, budget or guidance.